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US Economic Update: October 19, 2026

Current state of the real economy	
Current state of financial markets	
Current state of inflation	

Atlanta Fed GDP growth forecasts for Q3 2026 (%)	15-Oct-26	14-Oct-26	13-Oct-26	8-Oct-26	6-Oct-26	5-Oct-26
	3.6	3.6	3.6	3.6	3.7	3.8

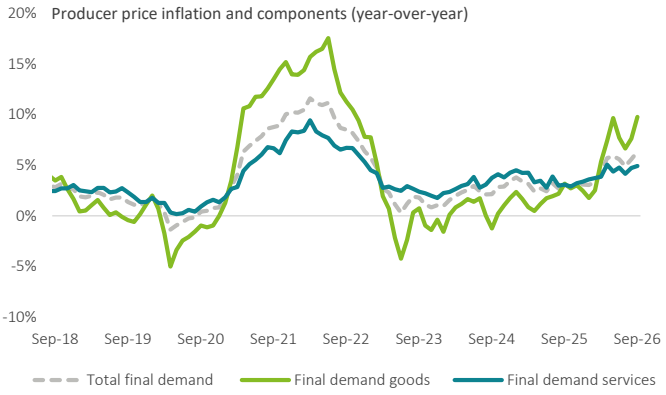
Headline inflation rose to 3.7% in September

- Consumer prices, as measured by the consumer price index (CPI), rose 0.6% in September—that was the fastest pace of monthly growth in five months. Energy prices grew 5.2% in September, the highest since March when global energy supply chains first bore the brunt of the Iran conflict. Within energy, the price of fuel oil was up 15.3% in September while gasoline prices rose 9.1%. Excluding food and energy, consumer prices were up by 0.3%, the same pace of increase as August. Compared to a year ago, overall consumer prices rose 3.7% in the 12 months to September (also called inflation), up from 3.4% in the previous month. That's much above the Federal Reserve's inflation target of 2%.
- High energy prices along with tariffs and AI demand-driven pressures are also pushing production costs up. Producer prices for final demand rose 1.3% in September, following a 0.5% increase in August. Prices for final demand goods grew 2.6% in September while prices for final demand services were up 0.8%. Compared to a year ago, producer prices rose 6.3% in September—the fastest pace of increase since December 2022 when pandemic-induced price pressures were in force in the economy. It is likely that producers will pass on some or all these increased costs to consumers, especially if global energy disruptions continue.
- Nominal retail sales (including food services) rose 0.8% in September, down from a 1.3% increase in August. Sales increased the most at gasoline stations (6.4%) due to rising gas prices. Sales were also up at department stores (1.6%) and furniture and home furnishings stores (1.3%). Compared to a year ago, total retail sales rose 6.3% in September, up from 5.6% in August. Nominal retail sales have been growing at a strong pace this year due to rising prices and resilient consumer demand.
- Existing home sales rose 1.5% in September to a seasonally adjusted annual rate of 3.99 million units. Sales had declined by 3.2% in August. Compared to a year ago, sales were down 2.2%. The median sales price of existing homes rose 1.3% in September from a year earlier, while the inventory of unsold homes grew 1.9% during the period. Despite September's rebound in sales, housing demand remains subdued as elevated mortgage rates and high home prices continue to weigh on affordability.
- Total industrial production grew 0.7% in September, up from a 0.1% gain in August. Utilities output increased by 3.5% in September with manufacturing and mining output both rising by 0.2% during the month.

Figure 1. Headline CPI inflation rose to 3.7% in September while core inflation edged up to 2.6% during the month



Figure 2. Producer price inflation for final demand was 6.3% in September, the highest since December 2022



Sources: Haver Analytics; Deloitte analysis.

For additional information, please reach out to the US Economics team:
Akrur Barua (abarua@deloitte.com), **Ira Kalish** (ikalish@deloitte.com), **Michael Wolf** (miwolf@deloitte.com)

Dashboard of key indicators

Real economy

Total nonfarm payrolls

Sep change	3-month avg ch	12-month avg ch	Trend
29,000	50,000	41,000	

Unemployment rate

Sep value (%)	1-month ch (ppts)	3-month ch (ppts)	Trend
4.2	0.1	0.0	

Real disposable personal income

Aug growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.0	0.6	1.3	

Real personal consumer expenditure

Aug growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.6	1.0	2.6	

Nominal retail sales

Sep growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.8	1.7	6.3	

Conference Board consumer confidence index

Sep value	1-month ch	3-month ch	Trend
81.9	-6.7	-10.3	

Housing permits

Aug growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
-2.1	-0.5	4.2	

Manufacturing industrial production

Sep growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.2	0.1	1.1	

Shipments of core capital goods

Aug growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.5	4.4	11.3	

Trade balance

Aug value (US$ billion)	1-month ch	3-month ch	Trend
-105.6	-12.7	-29.8	

Real GDP

Q2 2026 (%, QoQ, SAAR)	Q1 2026	1-year ch (%)	Trend
2.2	2.5	2.2	

Corporate profits

Q2 2026 (%, QoQ, SAAR)	Q1 2026	1-year ch (%)	Trend
40.5	6.1	20.8	

Financial markets

Equity markets

S&P 500 on Oct 16	1-week ch (%)	1-year ch (%)	Trend
7659.4	-1.9	14.9	

Treasury yield spread (10 yr - 2 yr)

Spread on Oct 16	1-month ch(ppts)	3-month ch(ppts)	Trend
0.35	0.02	-0.1	

CBOE volatility index (VIX)

VIX on Oct 16	1-week ch	4-week ch	Trend
20.0	5.2	4.6	

Kansas City Fed financial stress index (KCFSI)

Sep index	1-month ch	3-month ch	Trend
-1.0	-0.1	-0.2	

Inflation

Consumer price index (CPI)

Sep change (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.6	1.1	3.7	

Core CPI (CPI excluding food and energy)

Sep change (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.3	0.8	2.6	

Core PCE (PCE price index excluding food and energy)

Aug change (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.2	0.5	3.0	

Philadelphia Fed 10-year ahead inflation expectations

Q3 2026 (%, YoY)	Q2 2026	Q3 2025	Trend
2.3	2.4	2.3	

Sources: Haver Analytics; Deloitte analysis.